Reg. No.: ..... Name: .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION

FIFTH SEMESTER

Discipline Specific Elective (DSE)

DIGITAL ECONOMY AND BUSINESS TRANSFORMATION - MG5DSEECO303

BA (Honours) Economics

(2024 Admission Onwards)

Duration: 2 Hours **Maximum Marks: 70**

Remember (K), Understand (U), Apply (A), Analyse (An), Evaluate (E), Create (C), Skill (S), Interest (I) and Appreciation (Ap)

(Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.)

Part A
Multiple Choice Questions
Answer all questions. Each question carries 1 mark.

1. Which of the following best describes the digital economy?
   a) An economy based exclusively on manufacturing
   b) Economic activities significantly enabled by digital technologies and data
   c) An economy without financial institutions
   d) Economic activities undertaken only by governments

[K] / [CO1]

2. Metcalfe's Law is primarily associated with:
   a) Pricing digital goods
   b) Value created by network effects
   c) Cybersecurity regulations
   d) Cloud-computing costs

[K] / [CO1]

3. Which of the following is an important role of digital platforms in enterprise development?
   a) Preventing businesses from accessing customers
   b) Facilitating interaction between businesses and users
   c) Eliminating digital transactions
   d) Restricting market access to large firms

[U] / [CO5]

4. Google Business Profile primarily helps an enterprise to:
   a) Develop computer software
   b) Improve its online visibility and customer access
   c) Manufacture digital devices
   d) Obtain intellectual property rights

[U] / [CO5]

5. Phishing is an example of:
   a) Cloud computing
   b) Social-engineering attack

c) Digital pricing
d) Network effect

[K] / [CO2]

6. Which of the following enables an online business to receive payments from customers electronically?
a) Content Management System
b) Payment gateway
c) Learning Management System
d) Search engine

[U] / [CO5]

7. One important economic advantage of cloud computing for enterprises is:
a) Requirement of greater investment in physical servers
b) Reduction in scalability
c) Reduction in infrastructure and maintenance requirements
d) Elimination of internet-based services

[U] / [CO1]

8. The Open Network for Digital Commerce (ONDC) primarily seeks to:
a) Restrict digital commerce to a single platform
b) Promote an open and interoperable digital commerce ecosystem
c) Replace all physical retail markets
d) Regulate international data flows

[U] / [CO5]

9. Large Language Models are particularly associated with the ability to:
a) Generate and process human-like textual content
b) Manufacture computer hardware
c) Provide physical network infrastructure
d) Eliminate the need for digital data

[U] / [CO6]

10. Cross-national data flows have become important to international trade mainly because:
a) Digital services increasingly depend on movement and processing of data across borders
b) International trade no longer involves services
c) Digital enterprises operate only within national borders
d) Data cannot be used in international business

[An] / [CO5]

[10 x 1 = 10]

Part B
Short Answer Questions
Answer any 10 questions. Each question carries 3 marks.
Word limit: 50 words

11. Explain digital transformation.

[U] / [CO1]

12. Explain the significance of digital literacy for entrepreneurs.

[U] / [CO6]

13. How do network effects contribute to the growth of digital platforms?

[An] / [CO1]

14. Explain any three ways in which Google Workspace can support business enterprises.

[U] / [CO3]

15. How can location and mapping solutions support business activities?

[A] / [CO5]

16. Distinguish between authentication and authorisation in digital systems.

[U] / [CO2]

17. Explain the significance of intellectual property rights in the digital economy.

[U] / [CO4]

18. How does cloud computing provide economic advantages to business enterprises?

[An] / [CO1]

19. Explain the significance of Search Engine Optimisation for a digital business.

[U] / [CO3]

20. What is a payment gateway? Explain its role in e-commerce.

[U] / [CO5]

21. Explain the relevance of India Stack for digital business development.

[U] / [CO5]

22. How can AI tools contribute to task management and productivity enhancement in enterprises?

[A] / [CO6]

23. Explain the significance of cross-national data flows in the digital economy.

[An] / [CO5]

[10 x 3 = 30]

Part C
Short Essay Questions
Answer any 5 questions. Each question carries 6 marks.
Word limit: 160 words

24. Explain the major benefits of digital transformation for business enterprises.

[An] / [CO1]

25. Discuss network economics and explain the significance of network effects and Metcalfe's Law in understanding digital platforms.

[An] / [CO1]

26. Examine the role of digital platforms and enterprise-development tools in establishing and expanding a digital business.

[An] / [CO3]

27. Discuss the major security, privacy, ethical and regulatory challenges faced by participants in the digital economy.

[An] / [CO4]

28. Explain the major elements required for establishing an online business, including website creation, hosting, e-commerce platforms and payment gateways.

[A] / [CO3]

29. Examine the economics and advantages of digital branding and advertising, with reference to contemporary digital platforms.

[An] / [CO4]

30. Analyse the opportunities and economic implications of artificial intelligence and Large Language Models for enterprises. [An] / [CO6]

[5 x 6 = 30]